



Build Steps

Part 1 of 5 · Set up your agent in the new builder

1 Create your agent

Open Copilot Studio (copilotstudio.microsoft.com), select **Create**, then **New agent**. In the redesigned builder everything lives under the **Build** tab, with a settings panel down the right. Set:

Agent name Legal Contract Review Copilot

Description Reviews NDAs, MSAs, vendor agreements and licence deals: flags risky clauses against the internal playbook, surfaces renewal exposure, and routes contracts for signature.

Solution / Environment Legal Solution · Default environment

Icon Use a recognisable colour and emoji, or upload a brand icon

2 Choose your model

Open the **Model** selector at the top of the right-hand panel. Copilot Studio now lets you pick the model your agent reasons with. This build uses **Claude Sonnet 4.6**; you can switch later without rebuilding.

Reasoning is built in

- The agent reasons over your instructions, knowledge, skills and tools, and decides what to do each turn
- Handles paraphrases, multi-step asks and follow-ups
- Blends a knowledge lookup with a tool call in one reply
- Calls the right skill when intent matches

Choosing a model

- Claude Sonnet 4.6: strong reasoning, a good default here
- Lighter models: lower latency and cost for simple, high-volume flows
- Switch the model and re-run the same evaluation set to compare
- Check data residency and model availability for your tenant

For legal work, model choice carries confidentiality weight: confirm data residency, keep privileged material inside your governed boundary, and re-run your evaluation set when the model changes so risk classification stays consistent.



3 Write your instructions

The **Instructions** box is the heart of the Build tab. Define the agent's role, audiences and rules here. The agent reasons over these together with everything in the right-hand panel. Paste:

You are the Legal Contract Review Copilot. You help two audiences:

- 1) Business owners checking their own contracts.
- 2) Counsel reviewing risk and renewal exposure across the portfolio.

Rules:

- Use the uploaded contract dataset as your single source of truth.
- Always cite the contract ID and counterparty for every answer.
- Flag High risk contracts and auto-renew traps at the top of any answer.
- Summarise risk against the internal playbook; never offer legal advice.
- For signature, call the 'Send Contract to E-Signature' tool. Never imply it is signed.
- Owners see their own contracts; counsel sees the full portfolio.

Build Steps

Part 2 of 5 · Ground it in your data

4 Add Knowledge

Open **Knowledge** in the panel, select **Add knowledge**, then **File**, and upload **Legal_Contracts_Data.xlsx**. Knowledge gives the agent trusted context to guide its answers. This file contains:

- Contract details (contract ID, counterparty, type, governing law)
- Commercial terms (annual value USD, start date, end date, auto-renew flag)
- Risk data (risk rating, flagged clauses, playbook deviation)
- Ownership (business owner, counsel, status)

Layer more sources later: SharePoint sites, Dataverse, Microsoft Graph connectors, or public web.

5 Bring in Microsoft IQ

Open **Microsoft IQ** in the panel. Microsoft IQ brings in work context, business data and app signals from across your tenant, so the agent grounds answers in more than the file you uploaded.

For this agent, Microsoft IQ links a contract row to the latest version in SharePoint and the matter's email thread, so a renewal answer reflects the current draft rather than a stale figure. Microsoft IQ honours each user's existing permissions, so the agent only surfaces what the signed-in user is already allowed to see.



Build Steps

Part 3 of 5 · Give it skills and tools

6 Add a Skill

Open **Skills** in the panel, then **Add a skill**. A skill defines a reusable behaviour through structured instructions. It is the new home for the conversational flows you used to build as topics: the agent calls the skill when a user's intent matches.

Skill name: Triage Renewal Exposure

Description: Walks the user through contracts expiring in a chosen window, highlights High risk and auto-renew traps, and offers to start the renewal workflow on a chosen contract.

When to use it (intent hints the agent reasons over):

- What's expiring in the next 90 days
- Show me renewal exposure
- Which contracts auto-renew soon
- Triage my renewals

Structured steps:

- Ask for the window (default to the next 90 days)
- Filter contracts expiring in the window, order by annual value descending
- Flag High risk and auto-renew contracts at the top
- For each, cite contract ID, counterparty, annual value, risk rating
- Ask which contract to move forward, if any
- Call 'Send Contract to E-Signature' for the chosen contract

7 Add a Tool

Open **Tools**, then **Add a tool**. **Skills decide what to do; tools take the action**. A tool is a typed, callable action with named inputs and outputs that the model fills from the conversation. Choose one of: a **prebuilt connector** (Outlook, Teams, SharePoint, Dataverse, ServiceNow and more), a **Power Automate cloud flow**, a **custom HTTP request**, or a **Model Context Protocol (MCP) server**. This build uses a Power Automate flow because it does three things in one call: send the latest document for signature, record the envelope ID against the row, and return a reference.

Tool name: Send Contract to E-Signature

Type: Power Automate flow to a DocuSign or Adobe Sign connector, plus a SharePoint write-back to the contract row

Description (the model reads this to decide when to call): Sends the latest version of a contract from SharePoint to an e-signature envelope and records the envelope ID against the row.

Inputs the agent collects or infers:

- contractId — text, from knowledge
- counterparty — text, e.g. Northwind Logistics
- signatories — text, the signer email addresses
- documentVersion — text, the latest version from SharePoint

Outputs returned to the agent:

- envelopedId — text, e.g. ENV-20260608-7C2A
- status — text, e.g. Sent
- recordedToRow — yes/no



7.1 · Build the cloud flow that does the work

From inside Copilot Studio choose **Tools > Add a tool > New > Power Automate**. This opens the flow designer pre-wired with the Copilot Studio trigger and, crucially, keeps the flow in the **same environment** as your agent (Legal Solution · Default). An environment mismatch is the most common reason a finished tool never appears in the picker, so confirm the environment switcher (top-right) before you build.

Trigger — *When an agent calls the flow*. Add four text input parameters, named exactly: `contractId`, `counterparty`, `signatories`, `documentVersion`.

- **Action 1 – fetch the document.** SharePoint *Get file content* for the latest version of the contract, using `documentVersion` to resolve the right file in the Contracts library.
- **Action 2 – create the envelope.** DocuSign (or Adobe Sign) *Create envelope and send*, attaching the file and adding each address in `signatories` as a signer. Let the connector return the `envelopeId`.
- **Action 3 – write back to the row.** SharePoint *Update item* (or Dataverse *Update a row*) on the **Contracts** list. Map: `EnvelopeID = envelopeId`, `Status = 'Out for signature'`, `SentDate = utcNow()`.
- **Final action – return to the agent.** Add *Respond to the agent* (Return value(s) to Copilot Studio) with outputs `envelopeId = variables( 'envelopeId' )`, `status = 'Sent'`, `recordedToRow = true`.
- **Save** the flow as `Legal – Send Contract to E-Signature`.

7.2 · Register and map the tool in your agent

- Back in Copilot Studio the flow is attached automatically; if you built it separately, **Tools > Add a tool > Flows** and select it.
- Set the display name to **Send Contract to E-Signature** and write the **Description** for the model — it is what the agent reads to decide when to call the tool.
- For each input set **Fill using**: `contractId` → *dynamically* from the row the skill is triaging; `counterparty`, `signatories` and `documentVersion` → **Fill with AI**, and add an input description so the model extracts the right value (for `signatories`, ask for the signer email addresses).
- Confirm `envelopeId` is returned to the agent so the skill can read it back — satisfying your instruction rule “never imply it is signed”.
- **Connection & auth**: set the SharePoint and DocuSign / Adobe Sign connections the flow uses. The connectors chosen here are exactly what your DLP policy must permit (see Step 10).



7.3 · Worked example — what flows in and out

When a user says “send the renewed NDA for Northwind Logistics to e-signature”, the model fills the inputs and calls the tool with this payload:

```
{
  "contractId":      "C-1042",
  "counterparty":    "Northwind Logistics",
  "signatories":     "jordan.ellis@contoso.com; legal@northwind.example",
  "documentVersion": "v3 (2026-06-05)"
}
```

The flow sends the document, updates the row, and returns:

```
{
  "envelopeId":      "ENV-20260608-7C2A",
  "status":          "Sent",
  "recordedToRow":   true
}
```

The agent then replies in natural language, quoting the real envelope ID: “I’ve sent contract C-1042 (Northwind Logistics NDA) for signature — envelope ENV-20260608-7C2A is out for signature and recorded against the row. It is not signed until every party completes it.”

7.4 · Test the tool before you trust it

- **In isolation:** open the flow in Power Automate, choose *Test > Manually*, supply the four inputs, run it, and confirm an envelope is created in DocuSign, the contract row's EnvelopeID and Status update, and the run returns all three outputs.
- **End to end:** in **Preview** (Step 11) type “send the renewed NDA for Northwind Logistics to e-signature” and check the activity view shows Send Contract to E-Signature firing with the inputs the model inferred and the envelope ID it read back.

Build Steps

Part 4 of 5 · Extend, remember and govern

8 Add Connected agents

Open **Connected agents**. A connected agent lets this agent collaborate with others, delegating specialist work and sharing context across them (agent-to-agent). Keep each agent focused on what it does best.

Connect a **Clause Library Agent** that returns approved fallback language for a flagged clause, so review and remediation sit in one conversation while each agent keeps its own source of truth.

9 Turn on Memory

Toggle **Memory** on. Memory lets the agent remember interactions, workflows and context across sessions, so returning users do not have to repeat themselves. For this agent it remembers:

- The user's portfolio and the renewal windows they track, so triage opens correctly
- Contracts already sent for signature, so status follow-ups need no re-stating

Memory is scoped to each user and follows your retention and DLP policy. Review what the agent retains before you publish.



10 Govern your agent

Open the agent settings and lock these down before real users arrive:

Authentication: use *Authenticate with Microsoft (Entra)* so the agent runs as the signed-in user and inherits their permissions.

Content moderation: set the moderation level (start at Medium) and review it for your audience.

Data loss prevention: confirm your DLP policy covers the connectors your tools use — for Send Contract to E-Signature that means the SharePoint and DocuSign / Adobe Sign connectors must sit in the same DLP group, or the tool is blocked at runtime.

Channels and access: review which channels are enabled and who can use the agent.

Build Steps

Part 5 of 5 · Preview, evaluate and publish

11 Preview your agent

Switch to the **Preview** tab to chat with your agent as you build. Open the **activity view** on any response to inspect:

- Which skill, tool or knowledge source fired, and in what order
- The inputs the agent collected and what each tool returned
- Citations linking each answer back to a row of your data
- Latency per step, useful when tuning multi-tool flows

12 Evaluate

Open the **Evaluate** tab, then **New evaluation**. Build a test set so you can measure quality before and after every change. Score each response on **groundedness** (did it stay inside the knowledge), **relevance** (did it address the question), and **accuracy** (did it match the expected outcome).

Test set: Legal Contract Review Copilot · Baseline v1

Input: What's expiring in the next 90 days, sorted by annual value?

Expect: Returns contracts expiring within 90 days, ordered by AnnualValueUSD, cites IDs.

Input: Show all High risk contracts that auto-renew

Expect: Returns rows where risk is High and auto-renew is set, flagged at the top.

Input: Send the renewed NDA for Northwind Logistics to e-signature

Expect: Triggers the Triage Renewal Exposure skill and calls Send Contract to E-Signature.

13 Publish and Monitor

Click **Publish**, then enable the channels your users live in: Microsoft Teams, Microsoft 365 Copilot, a custom website embed, or other channels. Teams and M365 Copilot need tenant admin approval, so plan for that lead time. After publishing, open the **Monitor** tab to watch sessions, resolution and escalation outcomes, and quality trends over time, and to see where users drop off.

Try These Live

Sample queries to test your agent during the build-along.

Portfolio Triage

What's expiring in the next 90 days, sorted by annual value? · Show all High risk contracts that auto-renew.

Specific Lookups

Summarise the risk profile for contract C-1042. · Which contracts have governing law outside the US or UK?

Governed Action

Send the renewed NDA for Northwind Logistics to e-signature.

Try a paraphrase: 'kick off signature for the AlpenTech MSA'.

How to Think About This Agent

This agent replaces	With
• Manual playbook checks against each contract • Spreadsheet renewal trackers refreshed by hand • Email chains chasing signatures	✓ Risk and renewal exposure surfaced in chat ✓ E-signature kicked off in a single conversation ✓ Counsel always cited and in the loop

Trusted, governed, enterprise AI.

Built once, used everywhere.

Tip for real-world use

Layer SharePoint document library permissions on the knowledge source so business owners see only contracts they own, while counsel sees the full portfolio. Route the e-signature tool through a Power Automate approval step when AnnualValueUSD exceeds your signature delegation threshold.

You've built a Copilot Studio agent ✓

You now have an AI agent that can:

- Triage contract portfolios in chat
- Surface renewal and risk exposure
- Send signatures via governed tools
- Keep counsel cited on every answer